

AIRBOSS OF AMERICA CORP BOS.

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by

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			2026	2027
Price:	6.80	EPS	0	0
Shares Out. (in M):	27	P/E	0	0
Market Cap (in \$M):	184	P/FCF	0	0
Net Debt (in \$M):	69	EBIT	0	0
TEV (in \$M):	253	TEV/EBIT	0	0

Description

AirBoss (BOS:TSX)

All figures in US\$ unless indicated

Share Px (7/10/2026): C\$6.80

TSO: 27.2M

Market Cap: C\$184M

Approx Net Debt: \$C69.2M

Approx EV: \$C253M [\$180M]

Intro:

AirBoss is a large player in the North American rubber industry, moving away from a mostly commoditized market with an interesting alignment of various 'catalysts' to unlock value after several subpar years, given post-COVID slump in revenue and tariff uncertainty:

- The **US government's forcing onshoring** (e.g., late last year General Motors asked its supplier base to fully source in North America by 2027) is a tailwind for AirBoss (years ago decided to manufacture in the US/Canada vs Mexico)
- Continued **increase in sales to specialty/custom higher-margin rubber products** vs the commoditized segment of the market
- Airboss **owns substantial land/buildings** and **is in the process of selling a one million sqft facility on 15 acres in Kitchener near Toronto**. The property has been appraised at north of C\$100M. Timing of sale is uncertain, but recent interest includes a datacenter project. The company owns other properties appraised above C\$50M.
- **Increased defense spending, especially in NATO countries**. Within its defense division, Airboss will benefit from substantial tailwinds
- Related, AirBoss has some promising nascent defense-related product lines that have interesting growth potential/monetization. Bandolier, a substantially improved C4-explosive replacement, and Blast Gauge, a wearable blast gauge to mitigate concussion risk, are two with the most potential.
- Having reduced its debt by over \$50m in the last three years, leading to a debt-to-ebitda below 2x, the company can resume acquisitions.

Given the continued growth prospects, improved margins, and potential monetization of properties and other assets, we believe the stock is materially undervalued.

Business Overview:

AirBoss is a leader in compounding and formulating mixed rubber-based products, engineering specialty rubber products, and supplying survivability / military equipment. Over the past decades, AirBoss has evolved into a diversified company serving varied end-markets, moved upmarket, and houses first-class product design and manufacturing facilities. The company serves the automotive, defense, oil & gas, heavy construction, and health care industries.

The company has two divisions:

- **AirBoss Rubber Solutions (ARS)**: This segment focuses on the custom manufacturing and distribution of rubber compounds, silicone materials, and rubber compounding chemicals. ARS is the company's core driver for sustainable growth, serving as the second-largest custom rubber compounder in North America with an annual processing capacity of approximately 500 million pounds. The division serves diverse industrial sectors, including major tire manufacturers, off-the-road equipment, conveyor belts, aerospace, and electrical wiring. ARS operates state-of-the-art facilities in Kitchener, Ontario; Rock Hill, South Carolina; Scotland Neck, North Carolina; Auburn Hills, Michigan; and Acton and recent strategic initiatives focus on shifting toward higher-margin specialty compounding.
- **AirBoss Manufactured Products (AMP)**: This segment consolidates all of the company's finished product operations. It consists of rubber molded products (AirBoss Engineered Products), supplying anti-vibration solutions to the automotive and heavy commercial sectors) and defense products (operating under AirBoss Defense

Group), supplying chemical, biological, radiological, nuclear, and explosive personal protective equipment, respiratory solutions, and blast monitoring sensors. AMP maintains critical facilities in Michigan, Quebec, New York, Texas, and South Carolina.

Revenue \$000	2025	2024	2023	2022
AirBoss Rubber Solutions (ARS)	205,247	226,351	248,395	283,181
AirBoss Manufactured Products (AMP)	239,203	176,696	202,290	218,475
Inter-segment net sales (eliminations)	-34,247	-16,023	-24,660	-24,501
Total Consolidated Net Sales	410,203	387,024	426,025	477,155
ARS EBIT	11,080	19,499	16,326	21,454
AMP EBIT	4,965	-12,720	-37,044	-53,052

Management recently presented at a microcap conference in Las Vegas, worth listening to: <https://event.summitcast.com/view/bpjo3VVjZ25pp6SXpUua92/XNaWCVrtpm7pnssX4WaVAd>

The ARS industry in North America is dominated by Swedish Hexpol, with 3 times the capacity of AirBoss. BOS is the second largest player, followed by American Phoenix with similar capacity. Beyond these three players, the competitors are considerably smaller with 1/5 or less of AirBoss' capacity. The rubber industry is pretty local (reminds us of cement) as the product 'dries up' if shipped too far, and shipping refrigerated is cost-prohibitive.

The industry possesses a structural regional moat driven by strict logistical constraints:

- **Weight-to-Value Realities:** Uncured rubber compounds exhibit a high weight-to-value ratio, making long-distance freight economically prohibitive.
- **Perishability:** Uncured compounds degrade, dry out, or prematurely vulcanize if subjected to volatile transit temperatures, requiring costly refrigerated transport for distances outside a localized radius.
- **High Switching Costs:** Customer formulations are proprietary and highly integrated into client production lines (e.g., tier-1 automotive suppliers, defense systems). Re-sourcing a compound requires lengthy, cost-intensive lab qualifications, creating sticky customer relationships.

We believe AirBoss' leadership results in an appreciable moat through the capital needed to replicate its current infrastructure, the extensiveness of its proprietary product portfolio, and its customer relationships. Furthermore, AirBoss has/can also grow through the consolidation of smaller industry peers.

Opportunity:

As mentioned in the intro, there are several vectors of growth / value realization.

The made-in-USA mandates from the current administration will help the company grow. Management has stated the new business pipeline is the largest opportunity set they have seen since early Covid (when the company generated nearly \$600million in revenue at record double-digit margins). 2025 was the first year of growth post-COVID, with further growth expected. For example, the molding operations were quoted more opportunities in the first 6 months of 2025 than the whole of 2024. The ARS business is expecting to rebound from tariff uncertainty, especially in 2H26.

AirBoss product mix-shift and revenue growth have increased GM% over time. Pre-COVID, GM% were around 15%, most recent quarter above 18%. The table below excludes the COVID years:

in \$M	Revenue	Gross Profit	Adj EBITDA	GM%	EBITDA %
2025	410.2	71.1	34.0	17.3%	8.3%
2024	387.0	54.0	21.9	14.0%	5.7%
2023	426.0	58.4	26.8	13.7%	6.3%
2019	328.1	48.8	32.1	14.9%	9.8%
2018	316.6	45.0	25.7	14.2%	8.1%

The increase in operating expenses has hindered the benefits of increased GM%. As for many businesses, the COVID period has been a boon for business, but the increased cost structure has caused depressed margins since. 2025 was the first year of revenue growth post-COVID with a more streamlined operation, and margins recovered nicely, with most of the GM% increase falling to the bottom line YoY. We expect margins to keep improving and go beyond pre-COVID margins. Incremental GM% is around 27% (pre-COVID to today).

The increase in NATO defense spending should be accretive for AirBoss Defense Group's business line (nearly 30% of total revenue). Here is a quote from

management on the defense spending environment:

"Obviously, everybody knows what's going on in the defense world these days. Massive increase in spending. The US has always been by far the biggest spender. They have about \$961 billion this year, and their request for next year is half a trillion more. So they're asking for \$1.5 trillion for next year. Even Canada is spending more than they've ever spent before. Most NATO countries have dramatically increased their spending. Estimates for the global spending are \$2.9 trillion. And that's probably only going one way."

AirBoss has consistently sold into the defense complex, mostly rubber-based protective gear (molded overboots, gas masks, gloves, etc.). Management has also sold non-rubber-based products, leveraging its connections in defense, including a mine-clearing vehicle (Husky) and others - more below on the potential.

Bandolier, a replacement for C4 explosives that is simpler to handle, moldable, easier to store, and doesn't need specialized training, won a \$45m order last year from a European country, with the contract completed by the end of 2Q26. AirBoss is in active discussions with other European countries and the US military for significant contracts. Like most of the Defense Group, orders are lumpy but have the best margins in the business.

Blast Gauge, a wearable device that records all exposure to blast waves, is a newer product with no current sales but interesting potential. For example, SOCOM with 56K active duty members and assuming a 25% participation rate would generate about \$1.4m in recurring sales just on hardware at \$100/each unit with 3 units per person with a 3-year lifespan.

AirBoss is in the process of selling its Kitchener facility. They are in no hurry (no fire sale pricing), so timing is uncertain. However, the one million sqft property has been appraised at C\$105M. The company will use the proceeds to open a state-of-the-art facility costing between C\$50-70m. If the property sells at appraisal value, the net proceeds (post new facility) are C\$15-30m after-tax. The new facility should also deliver some cost savings vs the older facility, probably in the \$2-4million range.

Other properties are not currently for sale, but if the Kitchener sale is successful, management will probably sell the remainder, appraised at C\$55m.

AirBoss has been an acquirer of smaller businesses over the past. Now that debt has been reduced to below 2x debt-to-EBITDA, the company is looking at potential targets. The company has made C\$280m of acquisitions over the last 15 years, with deal sizes ranging from C\$25m to C\$70m.

Valuation:

BOS is currently trading at LTM EV/EBITDA of 5.1x, EV/Rev of 0.44x, and EV/GP of 2.5x.

Hexpol (a much larger player at scale) trades for 1.5x EV/Rev and around 9x EV/EBITDA. Historically, BOS has traded at 0.5x to 1x EV/Rev (excluding Covid peaks) and 5x to 9x trailing EV/EBITDA (excluding Covid peaks), so we are trading at the low end of the range.

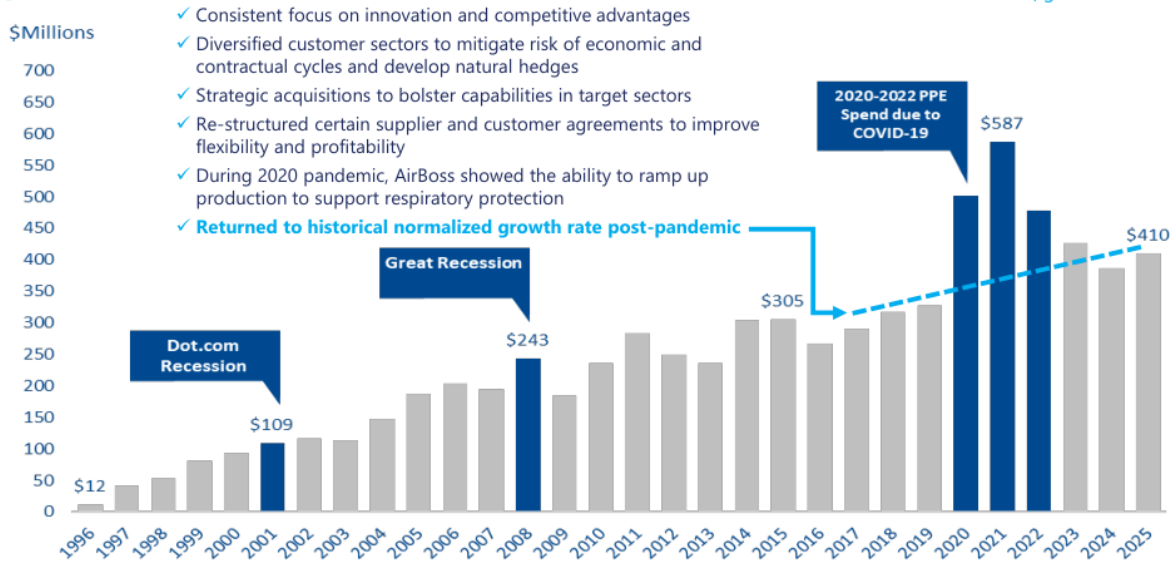
We believe EBITDA will continue to grow and should see north of \$40m in 2027. EBITDA for 1Q26 was \$9.1m, 14% higher YoY. With no multiple expansion and no major transactions/contracts, BOS stock should increase 20-30% given increased EBITDA and a little debt paydown. If the company transacts the real estate in the next year, and wins some material defense contracts (probably Bandolier), debt reduction would be an incremental \$20m or so, and EBITDA would be substantially above \$40m. With a slight multiple increase to 6-7x EV/EBITDA, we should see a doubling of the stock price in the next 18-24+ months. There is also a good chance of an acquisition, especially if their real estate transacts. We are not expecting them, but other catalysts include the sale of a division/product line (e.g., Husky product line seems like a good candidate and/or other defense businesses if they succeed).

Other:

- Even though rubber is a cyclical industry, AirBoss has done a good job of growing through downturns and diversifying beyond core automotive. Here is the revenue chart over the past three decades:

REVENUE HISTORY

All dollar figures are in USD



- Insiders own about a third of the company, with the Founder Chairman Co-Ceo Schoch owning around 18% of shares outstanding. Schoch has purchased 57,000 shares in the last couple of months between C\$6.84 and C\$7.68 per share. He has been a net buyer of shares for over a decade.
- Founder, Chairman, and Co-CEO Schoch relinquished his day-to-day responsibilities to Co-CEO Chris Bitsakakis in July 2023 (Chris was COO). Schoch has retained the Co-CEO title, but from our understanding, he is mostly supervising. Given that he is in his mid-seventies and a substantial holder, we wonder what kind of exit he is thinking about.
- BOS pays a C\$0.035 quarterly dividend, around 2% yield.
- Under the defense division, 2Q26 results will see the end of the European Bandolier contract and a gap before a newly signed MALO (molded boots) contract ramps up. Also, AirBoss increased its inventories in 1Q26 before price increases scheduled in 2Q26. Obviously, we don't know what the stock price reaction will be, but 2Q26 results could give us another nice buying opportunity.

Risks to Consider:

The rubber business is competitive, and input prices have seen inflation. The defense business is lumpy, and QoQ results can vary.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

Continued growth prospects, improved margins, and potential monetization of properties:

- Sale of its 1-million-square-foot Kitchener, Ontario facility: potentially representing over 50% of the entire equity market cap.
- Continued increase in sales to specialty/custom higher-margin rubber products vs the commoditized segment of the market

Messages

No messages